upfront but would be satisfied by Birla's word. Birla seemed to be in favour of accepting the offer even though he did not know the man. Purshotamdas, however, would have none of it. He told Birla that he did not think that their cause was so poor that they should resort to such dubious tactics to achieve their goal. The offer was refused. Shortly afterwards Birla met Sir Victor Sassoon, who had received a somewhat similar offer of five votes for ₹6,000. Sir Victor asked Birla if anyone had come round offering to sell votes, telling him that he had peremptorily declined the offer made to him.

The voting took place on the afternoon of the incident and it would have been catastrophic if Birla had accepted the offer. The man turned out to be a CID officer who had been planted on them by the government. Had either of them taken up the offer, he would have reported the matter to the government who would have had him swear an affidavit before a magistrate as to the facts of the incident. The plan was that Sir Basil would then have read the document in the Assembly whereupon other members who had been similarly approached would endorse the fact that the vote seller had offered them cash for votes. Since the government knew that it could never have succeeded with Purshotamdas, the plan was that if one of his group took the bait, it would be easy to paint the whole group black.

The government won the day by a slim majority of just three votes (68 to 65). This was despite the fact that it controlled a huge block of nominated members and officials. Assent was secured, given as Purshotamdas put it, 'the peculiar circumstance of our constitution'[12] where the Assembly was packed with officials and nominated non-officials. The Bill was passed by the Assembly in March 1927 and was endorsed soon after by the Council of State where the government had a safe majority. It established the ratio at 1s 6d by enacting that the government would purchase gold at a price of ₹21-3-10 per tola of fine gold in the form of bars containing not less than 40 tolas and would sell gold or sterling for immediate delivery in London at the same price after allowing for the normal cost of transport from Bombay to London. This was the first time that a statutory obligation was imposed on the currency authority to buy and sell gold at a fixed parity. An option was given to the government to give gold or sterling and thus the Currency Act of 1927 established a gold bullion-cum-sterling exchange standard.

Sir Basil Blackett justified the rate by arguing that the *de facto* ratio had held the field for nearly two years and was working reasonably well. He